GST: COMPLETE BEGINNER'S GUIDE

Goods and Services Tax in India

Concepts • Registration • Invoices • Input Tax Credit • Returns • Compliance

For students, beginners, freelancers and small business owners.
A practical introduction to GST concepts and routine compliance.

Prepared: October 2026
Educational guide — not a substitute for professional tax advice.

How to use this guide

Read the chapters in order. GST rules, rates, forms, due dates and portal procedures can change. Always verify the current position on official websites or with a qualified tax professional before filing or making a business decision.

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1. GST basics and purpose

GST means Goods and Services Tax. It is an indirect tax charged on the supply of goods and services in India. The customer usually bears the tax cost, while the registered supplier collects and reports it according to law.

GST was introduced in India on 1 July 2017. It brought many earlier indirect taxes into a more unified framework. GST is generally designed to reduce cascading tax (tax on tax) by allowing eligible businesses to claim Input Tax Credit.

Key idea: GST is generally destination-based. The place-of-supply rules determine the relevant tax treatment; do not rely only on the customer's address.

2. Types of GST

CGST: Central component generally applied to intra-State taxable supplies.
SGST: State component generally applied alongside CGST.
UTGST: Union Territory component applicable in specified Union Territories.
IGST: generally applies to inter-State supplies and imports, subject to law.

Illustration: for an intra-State supply with an assumed total rate of 18%, tax may be split into 9% CGST + 9% SGST. For an inter-State supply, 18% IGST may apply. Actual rates and classification must be verified.

3. Supply and place of supply

GST generally applies to taxable supplies made for consideration in the course or furtherance of business, subject to statutory exceptions. Some transactions may be treated as supplies even without consideration. Other activities may be exempt, outside GST or subject to special rules.

Intra-State: supplier location and place of supply are generally in the same State/UT; CGST plus SGST/UTGST commonly applies.
Inter-State: supplier location and place of supply are generally in different States/UTs, or a special rule treats the supply as inter-State; IGST commonly applies.

Place-of-supply rules differ for goods, services, imports, exports, immovable property and other cases. Check the specific rule for the transaction.

4. GST registration

Registration gives a business a GSTIN. Whether registration is compulsory depends on turnover, State/UT, type of supply, e-commerce activity, reverse-charge situations, exemptions and other statutory conditions. Thresholds and exceptions differ by category.

Typical portal process:
1. Visit https://www.gst.gov.in/.
2. Services → Registration → New Registration.
3. Enter applicant details and verify the OTP.
4. Complete the application and upload required documents.
5. Submit and track the application reference number.
6. If approved, download the registration certificate and verify the GSTIN.

Common information requested: PAN, business constitution proof, identity/address details of promoters or partners, business-place proof, bank details where required, and authorisation documents where applicable. Requirements vary by case.

Never use false details or another person's credentials. Secure the portal account and use authorised signatories.

5. GST rates and HSN/SAC

GST rates are not one universal percentage. The rate depends on classification, legal description, exemptions, notifications and transaction facts. Rates commonly discussed include 5%, 12%, 18% and 28%, but other treatments and changes may apply. Always verify the current rate.

HSN classifies goods. **SAC** classifies services. Correct classification matters for the rate, invoice and return reporting.

Use current CBIC notifications and official GST resources. Seek professional advice if classification is unclear or the amount is material.

6. Tax invoices, bills of supply and e-invoicing

A registered supplier generally issues a tax invoice for taxable supplies as required by law. A bill of supply is generally used in specified cases, such as exempt supplies or eligible composition taxpayers, where a tax invoice is not issued. Timing and content rules contain exceptions.

Typical invoice fields:
• Supplier name, address and GSTIN
• Consecutive invoice number and date
• Recipient details and GSTIN/UIN where applicable
• HSN/SAC and description
• Quantity/unit for goods where relevant
• Taxable value, tax rate and tax amount
• Place of supply where relevant
• Reverse-charge indication where applicable
• Signature/digital signature where required

E-invoicing: For notified taxpayers and transactions, specified invoice details must be reported to the Invoice Registration Portal to obtain an Invoice Reference Number (IRN) and QR code, subject to rules and exemptions. Not every invoice in India is covered. Check current thresholds and exclusions.

Credit/debit notes: These may adjust values or tax in legally permitted circumstances. Check the reason, time limit and reporting treatment.

7. Input Tax Credit (ITC)

ITC lets an eligible registered taxpayer offset qualifying GST paid on business purchases against output GST liability. Credit is not automatically available for every purchase.

Before claiming ITC, check:
1. You hold a valid tax invoice or prescribed document.
2. Goods or services have been received, subject to applicable rules.
3. Supplier reporting and other statutory conditions are met.
4. The credit is not blocked by law.
5. Records reconcile with relevant GST statements and time limits.
6. Any required reversal or adjustment is made.

Blocked-credit categories can include certain motor vehicles, food and beverages, memberships, construction-related expenses for immovable property, and personal-use purchases, subject to detailed exceptions. Apply the exact statutory provision; do not assume a category is always blocked or eligible.

Example: output GST = ■18,000; eligible and usable ITC = ■7,000. Ignoring other adjustments, illustrative cash tax payable = ■11,000.

8. GST returns and payment

Returns report outward supplies, tax liability, eligible credits and payments. Forms and filing frequency depend on taxpayer category and current rules.

Common forms:
• **GSTR-1:** outward-supply details, as applicable.
• **GSTR-3B:** summary return for tax liability, ITC and payment.
• **GSTR-2B:** auto-drafted ITC statement used for reconciliation; not the same as a return most regular taxpayers file.
• **GSTR-9:** annual return for taxpayers required to file it, subject to exemptions.
• **GSTR-4 / CMP-08:** relevant to specified composition compliance.
Other forms apply to special categories and situations.

Due dates vary by form, category, frequency, State/UT and notifications. Check the current GST portal calendar instead of relying on a generic list.

Typical workflow: reconcile sales and purchases → verify invoices and notes → reconcile ITC → calculate liability → pay through the proper ledger/challan process → file the return → save acknowledgements and working papers.

9. E-way bills

An e-way bill is an electronic document used for movement of goods when required. Applicability can depend on consignment value, movement type, distance, goods, State rules and exemptions. The commonly mentioned ■50,000 threshold has exceptions; it is not a universal rule for every movement.

Before moving goods, check whether an e-way bill is required, who must generate it, vehicle/transporter details, validity and exemptions using the official e-way bill system.

10. Composition scheme

The composition scheme is a simplified option for eligible small taxpayers. It generally involves tax at prescribed rates on turnover and restrictions, including limits on collecting tax separately and claiming ITC. Eligibility, limits and permitted activities vary by taxpayer type and law.

Composition taxpayers generally issue a bill of supply and follow prescribed statements/returns. Compare the scheme with regular registration before opting in; simpler compliance does not always mean lower total cost.

11. Records, notices and penalties

Keep organised records of sales, purchases, invoices, credit/debit notes, e-way bills, ITC reconciliations, challans, returns, import/export documents and correspondence. Retention requirements are set by law; confirm the period applicable to your business.

Common risks:
• Late filing/payment
• Incorrect rate or HSN/SAC
• Ineligible ITC or missed reversal
• Omitted sales or mismatches between books and returns
• Wrong tax type (CGST/SGST vs IGST)
• Missing e-invoice/e-way bill where required
• Sharing portal credentials or using another GSTIN

Consequences may include interest, late fees, penalties, blocked credit or demand proceedings depending on the facts and law. If you receive a notice, note the deadline, preserve evidence and seek professional help where needed. Do not ignore it.

12. Worked examples

Example A — tax calculation (illustrative):
Taxable value ■10,000 × assumed GST rate 18% = ■1,800 GST. Invoice total = ■11,800.

Example B — intra-State split (illustrative):
Taxable value ■10,000 at assumed total rate 18%: CGST 9% = ■900 and SGST 9% = ■900. Total GST = ■1,800, if the transaction is correctly classified as intra-State.

Example C — inter-State (illustrative):
Taxable value ■10,000 at assumed IGST rate 18%: IGST = ■1,800; invoice total = ■11,800, subject to actual rules.

Example D — ITC:
Output tax ■30,000 minus eligible, usable ITC ■12,000 = illustrative cash payment ■18,000. Actual utilisation follows statutory order and restrictions.

13. Beginner checklist

■ Confirm whether registration is required.

■ Verify current GST rate and HSN/SAC for each product/service.

■ Issue compliant invoices and notes.

■ Reconcile books and invoices regularly.

■ Check ITC eligibility and reconcile GST statements.

■ Track current return due dates and file on time.

■ Pay tax and save challans and acknowledgements.

■ Check e-invoice and e-way bill requirements.

■ Secure portal access and keep contact details current.

■ Get professional help for complex exports, refunds, ITC, place-of-supply or notices.

14. Glossary

Term	Meaning
GSTIN	Goods and Services Tax Identification Number.
ITC	Input Tax Credit — eligible credit for GST paid on inputs.
HSN	Classification system for goods.
SAC	Classification code for services.
CGST / SGST / UTGST	Central / State / Union Territory GST components, generally for intra-State supplies.
IGST	Integrated GST, generally for inter-State supplies and imports.
RCM	Reverse Charge Mechanism — in specified cases, the recipient pays GST.
GSTN	Goods and Services Tax Network, the technology infrastructure provider.
IRN	Invoice Reference Number for covered e-invoices.
E-way bill	Electronic document required for certain movements of goods.

Official resources

• GST Portal: https://www.gst.gov.in/ — registration, returns and taxpayer services.
• CBIC: https://www.cbic.gov.in/ — laws, notifications and circulars.
• E-way bill system: https://ewaybillgst.gov.in/ — e-way bill services.
• GST Council: https://gstcouncil.gov.in/ — council updates and recommendations.

Important: Rates, exemptions, thresholds, due dates, forms, e-invoicing applicability and procedures may change. This is a general educational overview prepared in October 2026; it does not verify every rule or notification as of the date you read it. For a live transaction or filing, consult current official notifications or a Chartered Accountant/GST practitioner.

End of guide